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Key Highlights: Taiwan Mills August Revenue Surge (Cheng Loong Hits 20-Month High) × South American Deep-Water Port Logistics (CMPC Secures \$300M Private Terminal) × APP Indonesia H1 Net Profit Jumps 127% × China Pre-Holiday Mill Downtime Maintenance

US Containerboard-OCC Spread

\$840 / short ton

Sept 1 hikes fully realized in client billings; raw material spread expands to record \$840/short ton, widening virgin liner margins.

Suzano Leads Asian BHKP Hike

+\$20 / ton

Concludes 5-month consolidation; Cerrado new capacity fully digested by global demand; Asian quotes rise to \$625-630/MT.

China Imported NBSK Spot

USD 688 / ton

RMB 4,890/ton; pre-festival restocking spurs modest rebound; spot-futures basis tightens to +USD 11 (+RMB 80/t).

Taiwan Big 4 August Revenues Surge

NT\$4.34B (Cheng Loong 20M High)

Cheng Loong up 23% YoY to 20-month high; Long Chen 8M pre-tax NT\$495M; CHP returns to positive growth; YFY up 7.5% MoM.

South American Deep-Water Port Strategy

US\$ 300M

CMPC approved to build \$300M dedicated terminal at Itapoa; Suzano advances 10% stake in Imetame to control ocean logistics.

Brent Crude Oil (Geopolitics)

\$94.20 / bbl

Energy risk consolidates at high plateau; SBR latex and PE extrusion coating prices firm; carriers maintain BSS fuel surcharges.

1. Executive Summary & Key Strategic Insights

- Taiwan Mills Rally** Taiwan Big 4 Mills Post Robust August Revenues; Cheng Loong Hits 20-Month High, Long Chen Surges ~25% YoY: Driven by North American containerboard price arbitrage, Southeast Asian demand, and domestic mid-autumn festival produce and electronics packaging rushes, Cheng Loong (1904) posted August consolidated revenue of NT\$4.34B (20-month peak). Long Chen (1909) recorded NT\$4.41B (+24.8% YoY), lifting 8-month cumulative pre-tax profit to NT\$495M. Chung Hwa Pulp (1905) reached NT\$1.519B (+1.65% MoM), and YFY (1907) gained 7.5% MoM to NT\$6.68B.
- North American Hikes** North American Containerboard Sept 1 Price Hikes Fully Invoiced; Raw Material Spread Reaches All-Time Record of \$840/short ton: Packaging Corp of America (+\$140), Smurfit Westrock (+\$100), and International Paper (+\$80) fully implemented third-round hikes on September 1 invoices. Benchmark kraftliner spot held firm at \$960-\$980/short ton. Deducting US OCC (\$135-\$137/short ton), the mill spread widened to \$840, delivering historic operating margins.
- Pulp Logistics Depth** South American Pulp Majors Advance Deep-Water Port Infrastructure: CMPC Secures \$300M Private Terminal License: Chile's CMPC received official authorization to construct a \$300M dedicated deep-water pulp terminal at Port of Itapoa in Santa Catarina, Brazil. With annual throughput exceeding 3.0M tonnes, this terminal bypasses congested public facilities, compressing transshipment demurrage and securing long-term freight sovereignty to Asia and Europe.
- Southeast Asia Giant** APP Indonesia Flagship Indah Kiat (IKKP) Posts H1 2026 Net Profit Surge of 127.3% to \$295M: Sinar Mas APP's Indonesian subsidiary Indah Kiat Pulp & Paper reported H1 net earnings of \$295M, more than doubling YoY, driven by strong volumes and price realization across Asian cultural and packaging board markets and hyper-competitive vertical fiber integration.
- China Market Discipline** Chinese Paper Giants Initiate Pre-Holiday "Downtime Maintenance" to Protect Price Floors and Clear Inventories: Ahead of the Mid-Autumn Festival and Golden Week National Day holidays, Nine Dragons, Shanying, and Sun Paper scheduled 3 to 7 days of coordinated machine downtime across select corrugating medium and liner lines, curbing supply and defending August price increases of RMB 30-50/ton.

6. **Global Pulp Rebound** **Suzano's September Asian BHKP Price Hike of +\$20/MT Fully Realized, Ending 5-Month Floor**
Consolidation: Suzano's \$20/MT hike for Asian eucalyptus pulp was fully accepted by buyers, lifting spot transaction levels to \$625–\$630/MT (RMB 4,440/t). This demonstrates that global demand has completely absorbed the 2.55M tonnes from Brazil's Cerrado mill, solidifying the market trough.
7. **NBSK Spot Strength** **China Imported NBSK Spot Firms to \$688/MT (RMB 4,890/t) as Mainstream Port Stocks Drop for 9th Consecutive Week**
Combined inventories at Qingdao and Changshu ports fell to 2.115M tonnes. Downstream ivory board and woodfree printing mills ramped operating rates to 69.2%. SHFE bleached softwood pulp futures closed at RMB 4,810/t, maintaining a healthy basis spread of +RMB 80/t (+USD 11).
8. **Fiber Spread Stability** **Softwood-Hardwood Price Spread Anchored at RMB 450/ton (\$63/MT), Well Below the 500 RMB Substitution Threshold**
The stable price gap prevents mills from re-engineering fiber furnish recipes to substitute hardwood for softwood, preserving structural balance and price parity across the pulp spectrum.
9. **Green Packaging Regulations** **China GB 4806.10 Standard in Force for 9 Days; EU PPWR 30-Day Milestone Intensifies PFAS Customs Audits**
With China regulating paper coatings under food-contact law and the EU inspecting food packaging for total fluorine (<50 ppm) and DfR recyclable design, inquiries for non-plastic, aqueous barrier foodboard from YFY and Chung Hwa Pulp continue to climb rapidly.
10. **Circular Energy Shield** **Taiwan Mills' Solid Recovered Fuel (SRF) Biomass Replacement Exceeds 47%, Locking Steam Cost at NT\$730/ton**
Faced with grid electricity tariff pressure and looming 2027 carbon fee declarations, Taiwanese paper mills expanded circular cogeneration, keeping steam costs over 30% below European gas-powered mills and constructing a formidable gross margin fortress.

2. Key Indicators Dashboard

2.1 Raw Materials (Pulp Market)

Indicator	Latest Quote (USD-First / Local Currency)	Date	Change	Market Dynamics & Structural Trends
China Imported NBSK Spot Price	USD 688 / ton (RMB 4,890)	2026-09-11	+USD 3.5 (RMB +25)	Pre-holiday replenishment active; port stocks draw down for 9th straight week
China Imported BHKP Spot Price	USD 625 / ton (RMB 4,440)	2026-09-11	+USD 5.0 (RMB +20)	Suzano \$20 hike fully executed; downstream printing and tissue mills accept hike
SHFE NBSK Futures Settlement (SP)	USD 678 / ton (RMB 4,810)	2026-09-11	+USD 3.4 (RMB +24)	Basis locked at +USD 11 (RMB +80); speculative long open interest advances
China Mainstream Port Pulp Inventory	2.115M tonnes	2026-09-11	-20k tonnes	9th consecutive weekly drop; Qingdao and Changshu dispatch operations fluid
NBSK - BHKP Spot Spread	USD 63 / ton (RMB 450)	2026-09-11	+USD 1 (RMB +5)	Firmly below 500 RMB substitution tipping point; furnish recipe stability assured
Europe Imported NBSK Spot (CIF)	USD 1,235–1,300 / ton	2026-09-11	+USD 5	Nordic supply discipline sustains high regional premium over Asian benchmarks

2.2 Recovered Fiber (OCC Market)

Indicator	Latest Quote (USD-First / Local Currency)	Date	Change	Market Dynamics
US 11# OCC Export FAS (West Coast)	USD 135–137 / short ton (RMB 955–970)	2026-09-11	Flat	Asian mills maintain regular procurement rhythms; FAS pricing firm
US 11# OCC Export FAS (East Coast)	USD 137–139 / short ton (RMB 970–985)	2026-09-11	Flat	Transatlantic container bookings balanced; steady European and Asian demand
US Domestic OCC YTD Hike	+USD 100 / short ton	2026-09	Realized	High containerboard operating rates (~92%) sustain domestic fiber appetite
China Domestic OCC Benchmark (Grade A)	USD 284 / ton (RMB 2,015)	2026-09-11	+USD 0.7 (RMB +5)	Pre-festival packing station volumes modest; major mills offer token incentives
Taiwan Domestic OCC Mill Gate Price	USD 130.9 / ton (NT\$ 4,200)	2026-09-11	Flat	Domestic recycling collection and paper mill gate intake remain strictly balanced

2.3 Paperboard & Finished Products

Market	Product Category	Action / Hike (USD-First)	Effective Date	Value Chain Impact Scope
US	Containerboard / Linerboard	PCA +\$140, SW +\$100, IP +\$80	2026-09-01 (Fully Invoiced)	Full execution across major boxmakers; box contracts reset upwards
US	Raw Material Spread	USD 840 / short ton (NT\$ 26,950)	2026-09-11	Surpasses \$840/ton all-time record; mill margins at multi-year peaks
Chile / Brazil	Pulp Export Logistics	CMPC \$300M Private Terminal	2026-09	Port of Itapoa deep-water terminal; >3M MT throughput compresses export freight
Indonesia	Integrated Forestry-Pulp-Paper	Indah Kiat (APP) H1 Net +127%	2026-09	H1 net profit hits \$295M; packaging board and cultural papers expand margins
China	Corrugating Medium / Testliner	Nine Dragons, Shanying 3–7d Downtime	Pre-Holiday Run	Supply-side downtime curbs inventory accumulation; defends recent price gains
Taiwan	Industrial Paper & Cartons	Cheng Loong August NT\$4.34B (20M High)	2026-08 Actual	Produce boxes, consumer electronics, and footwear export packaging ramp up

2.4 Key Energy, Foreign Exchange & Maritime Logistics Radar

Domain	Indicator Benchmark	Latest Quote (USD-First)	Trend & WoW	Value Chain Operational & Financial Significance
Geopolitics	Brent Crude Oil Futures	\$94.20 / bbl	-0.5% WoW	Crude steadies above \$94; chemical sizing (AKD), SBR latex & BSS stay elevated
Forex	USD / TWD Exchange Rate	32.080	NTD +0.04	Moderate NTD strength reduces imported wood pulp and OCC forex settlement costs
Forex	EUR / USD Exchange Rate	1.0970	Euro Firm	Strong Euro limits European linerboard dumping into Asian export corridors
Forex	USD / BRL Exchange Rate	5.0820	Real +0.1%	Firm Brazilian Real disincentivizes USD discounts on global market pulp sales
Freight	Shanghai Container Freight (SCFI)	3,442.50 pts (USD)	+0.5%	Peak pre-holiday volumes; US West Coast \$6,500/FEU, East Coast \$9,300/FEU
Freight	Baltic Dry Index (BDI)	1,848 pts	+0.7%	Bulk woodchip vessel charters and long-term pulp carrier rates remain steady
Energy	Taiwan Thermal Coal (Taipower CIF)	\$130.00 / ton	-0.4% MoM	Ample Australian coal; mill SRF biomass >47% locks steam at NT\$730/ton (\$22.8)
Energy	China Thermal Coal (QHD 5500)	USD 116.5 / ton (RMB 828)	Controlled	Post-summer power demand eases; paper mill coal costs stable at RMB 270–300/t
Energy	Japan Imported Coal (CIF)	\$137.50 / ton	Range-bound	Japanese mills sustain high specialty export prices to absorb elevated power costs

3. Price Trends & Full-Chain Forward Matrix

Chart 1 | China NBSK vs. BHKP Spot Pulp Spread Dynamics (2026-06 ~ 2026-09-11)

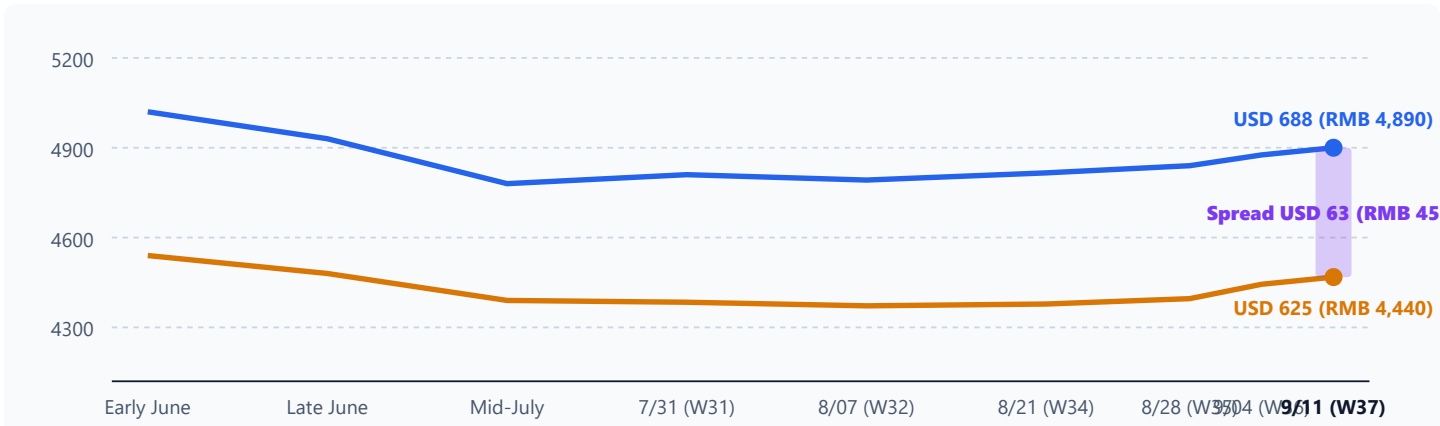


Chart 2 | North American Containerboard Hikes vs. Recovered Fiber (OCC) Raw Spread (\$840/ton Record High)

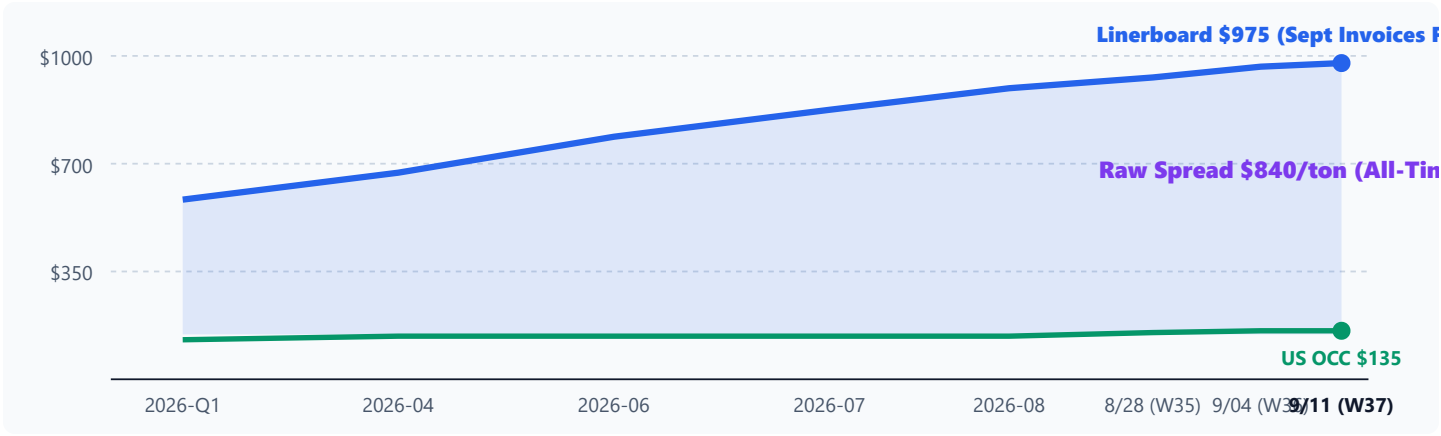


Chart 3 | Taiwan Listed Paper Mills August 2026 Official Revenue Performance

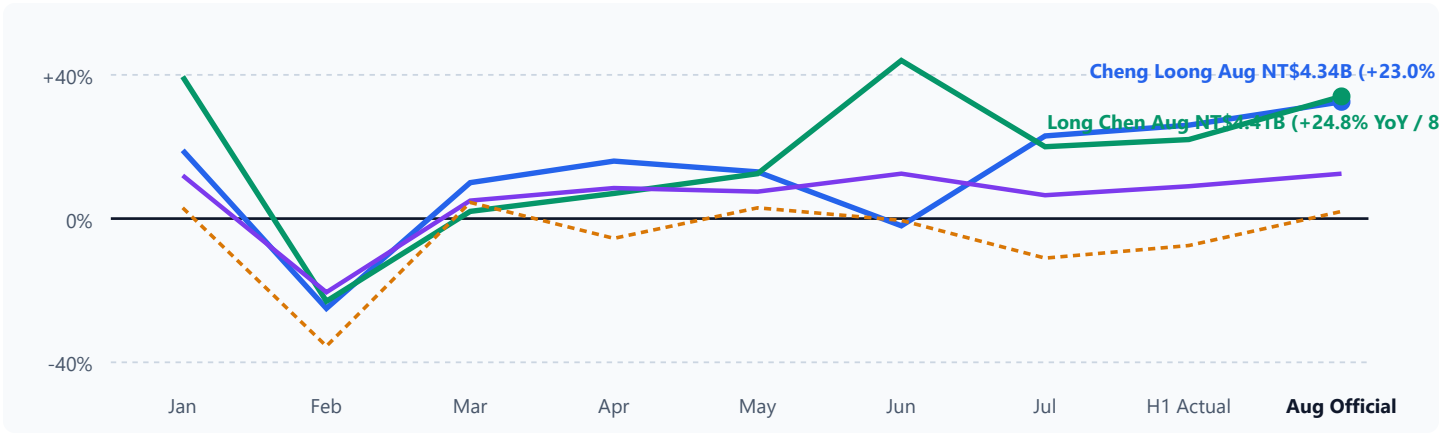


Chart 4 | Global Containerboard Prices & Regional Price Hikes Comparison (Sept 2026 Fully Invoiced)

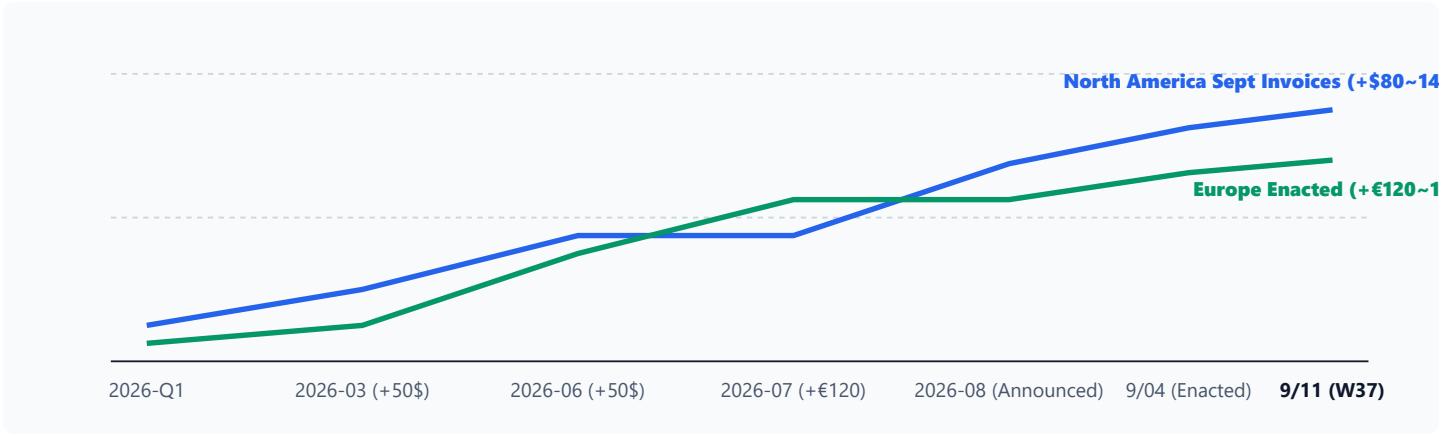
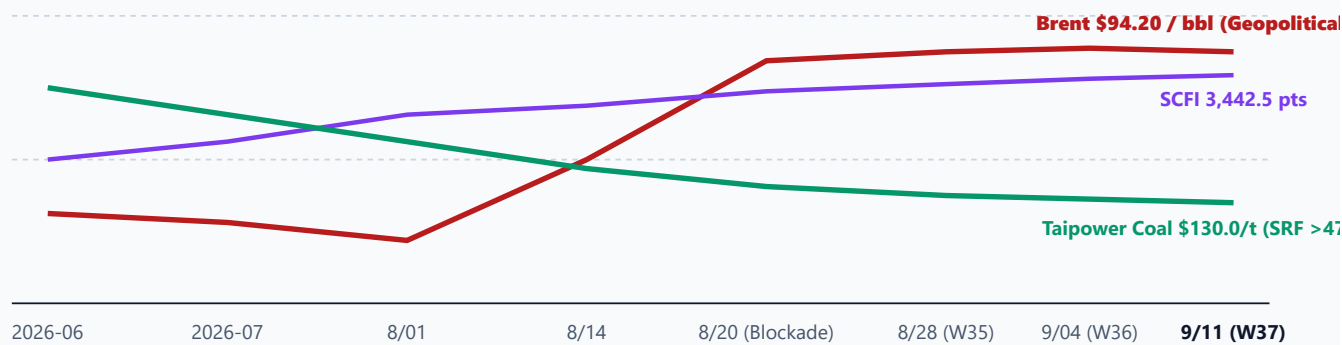


Chart 5 | Global Energy & Ocean Logistics Radar (Brent Crude, SCFI, Taipower Coal / 2026-09-11)



3.6 Full-Chain Forward Outlook & Prediction Matrix (Energy × Pulp × Paper)

Target Benchmark	Category	Current Base (USD-First)	1M Target	3M Target	6M Target	Direction	Primary Drivers & Risk Boundari
Brent Crude Oil	Energy	\$94.20 / bbl	\$92–98	\$88–95	\$82–90	Geopolitically Elevated	Enforcement of Iranian export embargo; persistent bunker surcharges (BSS)
China Imported NBSK	Wood Pulp	USD 688 / ton (RMB 4,890)	\$690–710	\$700–725	\$660–700	Firm Advance	Port inventories draw down; Mid-Autumn & National Day publishing rushes
China Imported BHKP	Wood Pulp	USD 625 / ton (RMB 4,440)	\$630–645	\$635–650	\$600–630	Trough Rebound	Suzano leads price hikes; Cerrado volume fully absorbed; buyers restocking
US 11# Export OCC	Recovered Fiber	USD 135–137 / short ton	\$135–140	\$138–145	\$125–135	Steady High	High containerboard operating rat sustain robust domestic recycling demand
US Linerboard	Packaging Board	\$960–\$980 / short ton	\$970–990	\$970–1000	\$940–970	Fully Realized	Sept 1 price hikes fully invoiced; Re Material Spread hits record \$840/t
Taiwan Kraftliner	Industrial Paper	NT\$ 52,000 / ton	NT\$ 52,000	NT\$ 53,000	NT\$ 51,500	Bullish Momentum	Cheng Loong & Long Chen August revenue surge extends into Q3-Q4 peaks



4. Feedstock Market Dynamics: Wood Pulp & Recovered Fiber

Following Suzano's \$20/MT hardwood pulp hike, market sentiment across Asia solidified rapidly. Nordic and North American softwood producers, including Metsa Board and Canfor, reinforced list price discipline, providing significant leverage for upcoming Q4 contract negotiations. Port stocks at Qingdao and Changshu dropped for the ninth consecutive week to 2.115M tonnes, underscoring resilient paper mill intake.

In recovered fiber, US domestic box collection remained well balanced, with export FAS quotes holding steady at \$135–\$137/short ton on the West Coast and \$137–\$139/short ton on the East Coast. In China, Grade A OCC mill gate prices ticked up slightly to RMB 2,015/ton as packing yards showed reluctance to sell ahead of the festive holidays.

5. Finished Products: Containerboard, Cultural & Specialty Papers

In containerboard, North American producers PCA, Smurfit Westrock, and International Paper successfully billed their third round of increases effective September 1, amplifying international price arbitrage. In China, Nine Dragons, Shanying, and Sun Paper initiated 3 to 7 days of selective machine maintenance, effectively restraining supply to protect recent RMB 30–50/ton price increases. Taiwanese mills operated at >90% capacity, fueled by brisk demand for electronic components packaging and agricultural produce boxes.

In cultural and specialty grades, printing paper demand peaked for textbook production and promotional materials. Concurrently, demand for aqueous barrier coated board and certified PFAS-free grease-resistant paper surged sharply in response to China GB 4806.10 and EU PPWR compliance deadlines.

6. Corporate Strategy & Global Expansion

Chile's CMPC achieved a major milestone by securing permits for a \$300M private deep-water pulp terminal at Port of Itapoa in Santa Catarina, Brazil. The facility, designed for over 3M tonnes of annual throughput, will dramatically reduce inland rail and ocean transshipment demurrage for shipments bound for Asia and Europe. Meanwhile, Suzano is finalizing its 10% equity acquisition in the Imetame Port complex, reinforcing South American pulp logistics independence.

In Southeast Asia, APP's Indonesian flagship Indah Kiat (IKKP) reported an outstanding H1 2026 net profit of \$295M (+127.3% YoY), driven by fully integrated plantation pulp and paperboard cost advantages. In Taiwan, Cheng Loong's August revenue reached NT\$4.34B (a 20-month high), while Long Chen posted NT\$4.41B (+24.8% YoY) with 8-month pre-tax earnings of NT\$495M, confirming sustained sector recovery.

7. Global Regulations & ESG Transformation

- **EU PPWR 30 Days in Force:** European port authorities have commenced systematic sampling of food-contact paper packaging for total fluorine (<50 ppm) and verified Design for Recycling (DfR) declarations.
- **China GB 4806.10-2025 Enacted (Day 9):** Paper coatings are officially governed under mandatory food safety standards, driving rapid market substitution away from fluorinated chemicals toward water-based bio-barrier coatings.
- **EU PFHxA Ban Final Countdown:** 37 days remaining (effective 2026-10-18). Perfluorohexanoic acid and related substances will be prohibited across EU food packaging.
- **EU EUDR Deforestation Regulation Countdown:** 110 days remaining (effective 2026-12-30). Wood pulp, paperboard, and cartons entering the EU require plot-level GPS coordinates and Due Diligence Statements (DDS).
- **Taiwan 2026 Carbon Fee Implementation:** Large industrial emitters prepare inaugural greenhouse gas filings. Cheng Loong, YFY, and Long Chen expand SRF biomass fuels (>47% replacement) and waste heat recovery to secure preferential fee discounts.

8. Strategic Implications for Taiwan Paper Industry

1. **Feedstock Sourcing:** The NT Dollar remains firm at 32.080, preserving foreign exchange purchasing power. Mills should take advantage of NBSK at USD 688/MT and US OCC at USD 135/short ton to lock in Q4 and early 2027 safety reserves.
2. **Containerboard Exporters:** North American Sept 1 hikes widen global virgin-to-recycled spreads to \$840/short ton. Cheng Loong's 1M MT capacity in Vietnam and Long Chen's >95% capacity utilization in China position both to expand H2 revenues and margins.
3. **Specialty & Cultural Paper Mills:** Chung Hwa Pulp's non-plastic barrier board directly fulfills GB 4806.10 and EU PPWR mandates. Capacity discipline supports premium price realization in domestic and export markets.
4. **Packaging Converters & Boxmakers:** Faced with mill price hikes and raw spread records, boxmakers must stand firm in passing price adjustments to clients to protect operating margins.
5. **Brand Export Manufacturers:** Must conduct comprehensive supply chain audits for PFAS-free verification and EUDR compliance to prevent cargo impoundment at European and international ports.

9. Value Chain Transmission Mechanism

- **Pulp Price Transmission:** Suzano Asian hike +\$20/MT realized → Imported NBSK climbs to \$688/MT → Woodfree and ivory board price hikes (+RMB 100~200/MT) → Printing and packaging cartons repriced (transmission lag: 3–5 weeks).
- **Containerboard Transmission:** North American containerboard +\$80~140/short ton fully invoiced → Asian imported kraftliner rises +\$30~50/MT → Taiwan & Southeast Asian corrugated carton prices adjust +5~10% (transmission lag: 2–4 weeks).
- **Regulatory Substitution:** China GB 4806.10 in force + EU PPWR audits → Legacy fluorinated/PE paperboards phased out → Aqueous bio-based barrier paperboard market share accelerates past 50%.

10. Key Milestones Calendar

Effective Date	Regulatory & Industrial Milestone	Value Chain Impact & Operational Countermeasures
2026-08-12	EU PPWR Packaging Regulation Officially Enacted	Active for 30 days; European exports subject to DfR recyclable design and PFAS audits
2026-09-01	North American Top 3 Containerboard Hikes Enacted	PCA (+\$140), SW (+\$100), IP (+\$80) fully invoiced; Raw Material Spread hits \$840 record
2026-09-02	China GB 4806.10 Food Coating Standard Enacted	Paper coatings regulated; aromatic amines and PFAS restricted; aqueous barriers mandatory
2026-10-18	EU PFHxA Ban Takes Effect (Countdown: 37 Days)	Fluorinated grease-resistant additives banished from EU food packaging
2026-12-30	EU EUDR Deforestation Rule Enforced (Countdown: 110 Days)	Imported wood pulp, paper, and boxes must supply plot-level GPS DDS filings
2027-01-01	Taiwan 2026 Carbon Fee Reporting & Formal Levying	Paper mills face inaugural carbon fee declarations; SRF biomass secures discounts